

An Executive Summary

A Framework for Successful Biopharma Launches



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Overview

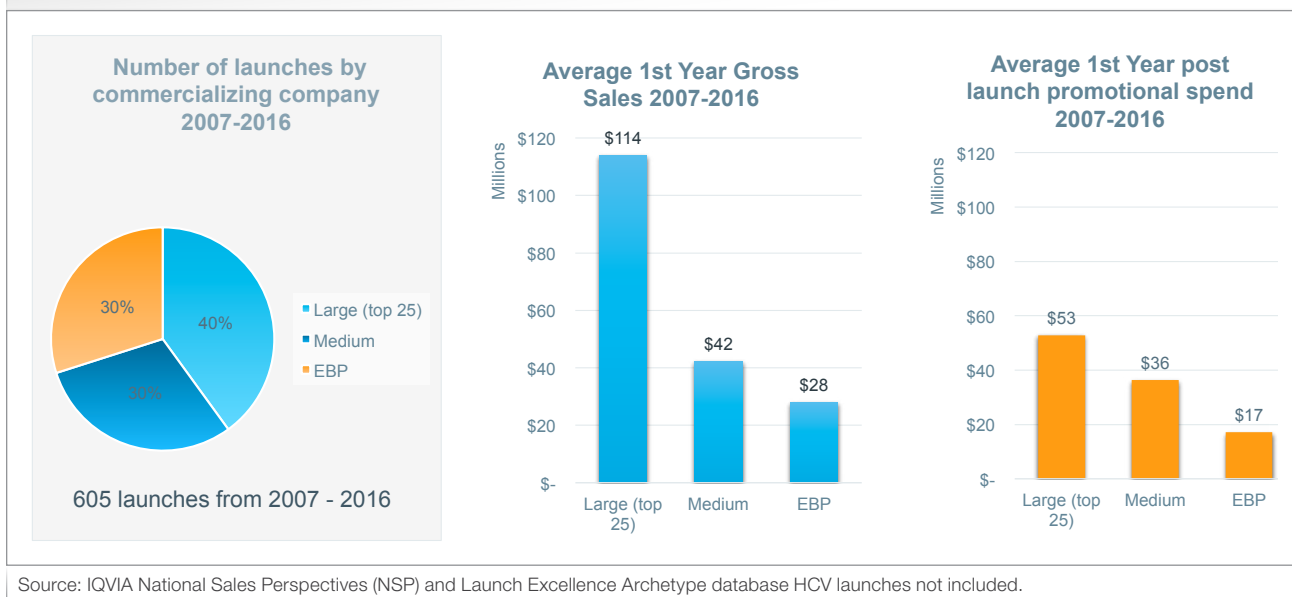
It's no secret that emerging biopharma companies face significant challenges at every product launch. Not only is the market environment becoming more restricted, but emerging biopharma firms also typically face shortages of resources, launch experience, sales force and awareness by prescribers, payers and patients. Despite those restrictions, emerging biopharma account for about 30% of 600 product launches over the past decade compared to 40% by top 25 firms and 30% by midsized firms.

In terms of product development, between 40% and 50% of all launches were developed by emerging biopharma firms. In many cases, the original developer sold the product to a larger player prior to commercialization.

Despite emerging biopharma's success in product development and commercialization, optimizing first-year sales and first-year promotional spending is a problem. The average first-year sales for top-25 firms was \$114 million versus \$42 million for mid-sized firms and \$28 million for emerging biopharma (see **Figure 1**). Top-tier firms spent an average of \$53 million on promotional spending during the first year after launch versus \$36 million for midsized firms and \$17 million for emerging biopharma **Figure 1**.

The differences in promotional spending may not seem dramatic, but the bottom-line difference is unsettling for smaller players. While top-25 launches return an average of \$61 million, 53.5%, emerging biopharma firms net \$11 million, 39.2%.

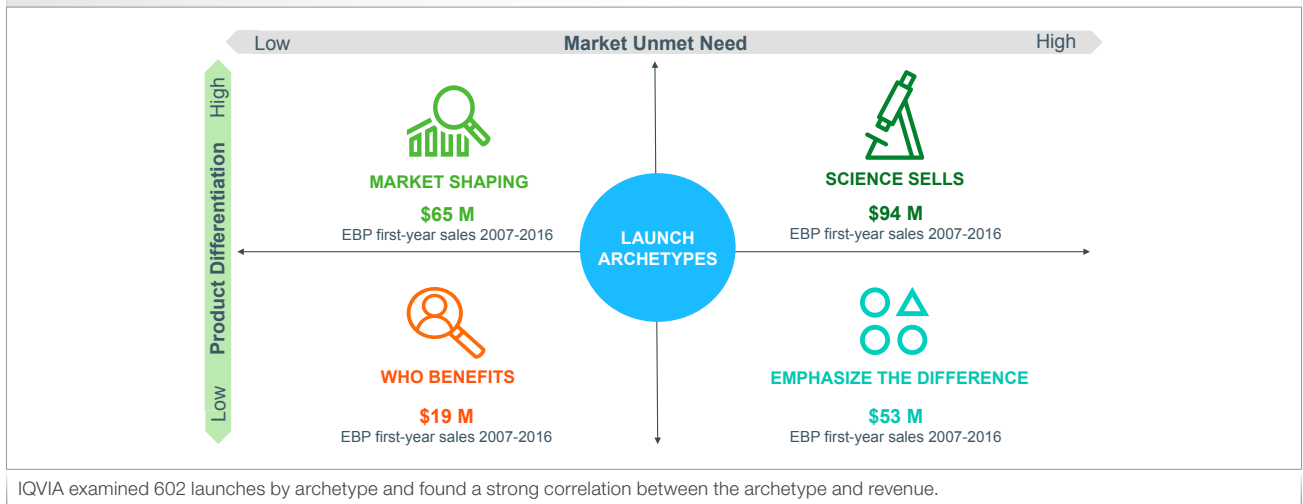
Figure 1: Segmenting launch performance by company size.



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Figure 2: Using launch archetypes to determine critical success factors.

Critical Success Factors

IQVIA has identified several critical success factors that directly contribute to the success or failure of product launches.

In studying about 12,000 product launches across eight countries and 10 years, one of the most important factors is setting expectations. Between 50% and 70% of launch brands underperform their first-year forecast. That suggests companies routinely create unrealistic expectations or fail to understand the opportunity.

Resourcing and investment are another challenge. Launch preparations often begin late in the development cycle and are underfunded. The problem is particularly acute among emerging biopharmas with tight financial constraints.

The most critical challenge is the launch strategy. Too many companies use the same playbook for every launch. Just as every product is different, every launch strategy and implementation must be unique to the product, market, opportunities and challenges.

While a product launch is a complex process, success or failure is usually driven by five to seven critical success factors. These factors help focus the organization and align stakeholders, optimize resource investments and maximize the chances for a successful launch. A brand's fate is sealed before the launch even begins. The quality of pre-launch preparation, resources, alignment and processes determines post-launch success.

The real question is how to determine the critical success factors for the launch. Experience helps. Experienced marketers talk about a gut feeling that tells them what is absolutely vital for this product and this launch. Gut feelings work, but it is difficult to align a company because everyone's gut feels a little different.

What companies need is a framework that is supported by research. IQVIA analyzed more than 600 launches based on two axes of unmet need and product differentiation. What they found was four archetypes with distinct critical success factors and distinct first-year sales, as shown in **Figures 2 and 3**.

Figure 3: EBP launches 2007–2016, plotted by market need and product differentiation.

The Framework

The upper right quadrant (high unmet need and high product differentiation) is labeled *Science Sells*. Products in this area have the highest average first-year sales: \$94 million. The other end of the spectrum, low unmet need and low product differentiation, is *Who Benefits*, with average first-year sales of \$19 million. It is just as easy for a launch to fail in *Science Sells* as it is in *Who Benefits*.

The other archetypes are *Market Shaping*, average first-year sales of \$65 million for products with low market need and high product differential, and *Emphasize the Difference*, \$53 million in first-year sales with high unmet need and low product differentiation.

All four archetypes have two things in common: Launch managers must set expectations with investors and internally. More importantly, launch managers must tailor the launch strategy to the unique critical success factors in each archetype.

Here are four emerging biopharmas that faced those challenges.

Science Sells. Vertex launched Incivek® into a hepatitis C market with an enormous unmet need for effective treatment and high differentiation from the standard of care, interferon. About three million people were infected with the virus when Vertex's protease inhibitor launched in 2011 and 78% of them were not aware of their infection.

At the same time, Incivek was the first-ever launch with an all-new commercial team. Moreover, Vertex was going head to head with Merck, which launched Victrelis within 10 days of Incivek.

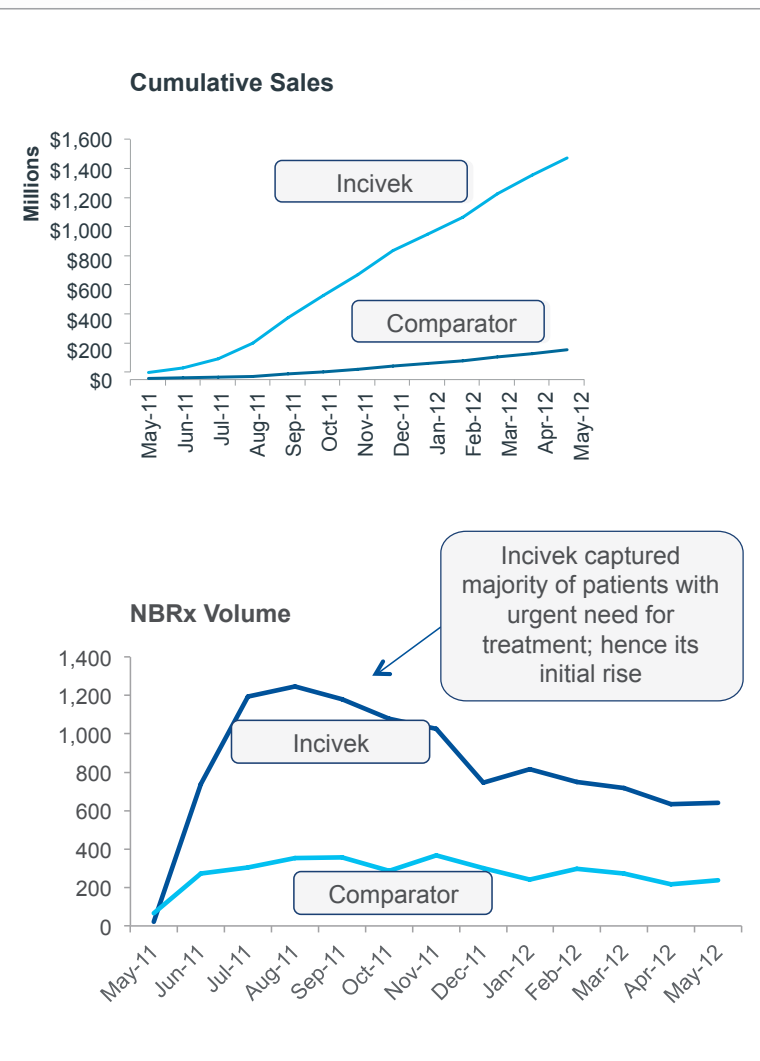
Vertex leveraged the huge unmet need and its sharp product distinction with a massive disease awareness campaign that began more seven years before launch. The company created websites for physicians and patients, establishing themselves as the company that would be offering solutions.

The company posted thought-leader videos on several physician forums on a variety of topics (e.g., Which patients were toughest to treat? How to manage patients on triple therapy? Which patients are most likely to benefit from protease inhibitors?). They partnered with patient and HCV advocacy groups that could help support the product with providers and peers.

Vertex also focused heavily on journal reports of clinical data in the two years running up to their expected launch. They used networks of physicians to disseminate information and maintained a significant presence at relevant scientific conferences.

Focusing on the science helped Incivek capture the majority of patient share early, driven largely by its pre-launch disease awareness campaign (**Figure 4**).

Figure 4: Incivek captured the majority of the patient share early, driven in large part by a pre-launch disease awareness campaign.



Vertex placed extensive effort on (1) publishing clinical data in credible journals consistently beginning two years prior to approval, (2) widely utilizing key physician influencers to disseminate Incivek clinical data and (3) had a significant presence at many scientific meetings (AASLD, EASL, DDW, etc.) – KOL Point of View.

Shaping the Market. Iclusig® was the fifth tyrosine kinase inhibitor (TKI) for chronic myeloid leukemia (CML) patients. It was the first and only product approved for patients with the T3151 CR-ABL1 mutation. About 20% of patients who receive TKI therapy develop the T3151 mutation, which brings a worse prognosis with no viable treatment option. But genetic testing was not standard of care because there was no prior targeted treatment options. With a low unmet need and high product differentiation, Ariad shaped the market by amplifying the need for testing, which would enable switching to the only indicated treatment, Iclusig.

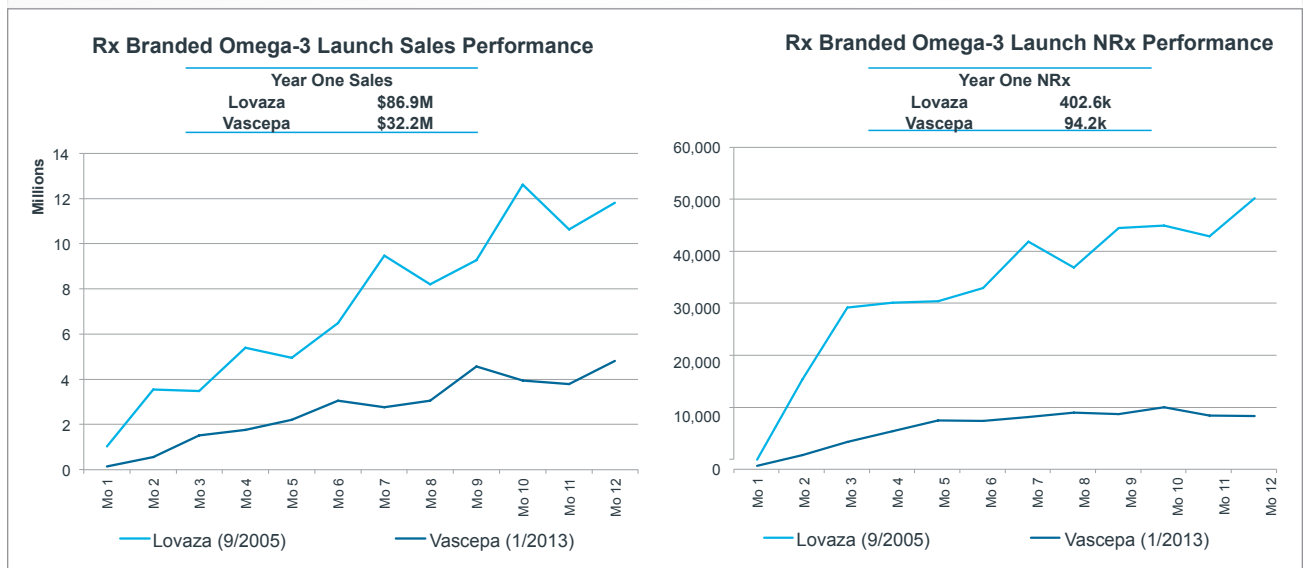
The company launched a branded website, CMLrisks.com, to emphasize the need for surveillance of resistance in CML and why resistance is more threatening than it might seem. Despite fierce competition, Ariad molded the CML market by building awareness of the mutation it was designed to treat. The company carved a resilient niche as the preferred treatment for a specific patient population.

“Ariad shaped the market by amplifying the need for testing, which would enable switching to the only indicated treatment, Iclusig.”

Who Benefits. Low unmet need and low product differentiation is a tough position for any product. That’s when managing expectations becomes crucial. If marketers can’t identify the distinct patient population or stakeholder who would benefit, the launch will likely fail.

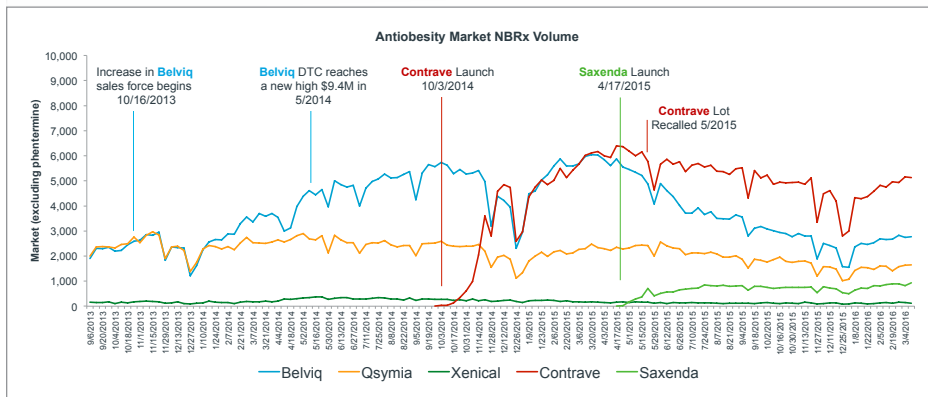
That was the position Amarin found itself in when launching Vascepa®. The product, a fish oil to treat severely high triglycerides, was launched in early 2013. From the company perspective, Vascepa had an important distinction: it lowered triglycerides without increasing LDL-cholesterol. The mechanism of action inspired revenue estimates of \$60 million for 2013 and \$1.9 billion in peak sales for 2022 (see **Figure 5**). Prescribers did not agree. From the physician perspective, a statin was all that most patients needed. And while Amarin launched a patient education website, LowerMyTrigs.com, after launch, sales Vascepa significantly underperformed Lovaza®, a competitor product from Merck. Vascepa generated only \$32 million in first-year sales, less than half of Lovaza’s first-year sales. New prescription results were even lower: 94.2k new scripts for Vascepa versus 402.6k new scripts for Lovaza.

Figure 5: Vascepa significantly underperformed Lovaza, generating only \$32M in sales in its first year and 94.2k new prescriptions – Analysts estimated \$59M in revenue for 2013 and peak sales of \$1.9 billion in 2022



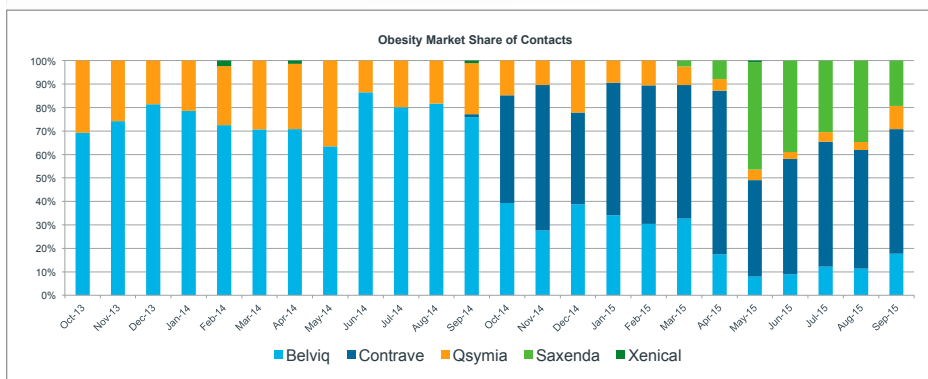
Source: IQVIA National Sales Perspective (NSP), National Prescription Audit (NPA).

Figure 6: In its launch year, Contrave displaced all branded competitors and became the second largest therapy in terms of active prescribing decisions. Contrave has been successful in displacing its branded competitors, but generic phentermine remains the market leader (not shown)



Source: IQVIA SMART NTB.

Figure 7: Contrave was more actively promoted to physicians via contacts than its competitors at its launch. Its share of contacts also is higher than Saxenda's at its launch.



Source: IQVIA ChannelDynamics.

Emphasize the Difference. Contrave®, a naltrexone/bupropion combination, is the typical high unmet need, low product differentiation launch. It was the third anti-obesity drug in a market dominated by generic phentermine. And while Contrave was the only non-scheduled anti-obesity drug and the only anti-obesity drug with cardiovascular outcomes, it faced significant competition from phentermine as well as Qsymia and Belviq. Saxenda followed Contrave to market seven months later.

Orexigen recognized that that success depended on getting consumers and prescribers to focus on Contrave's differences. If a product maker expects to talk with prescribers about differentiation, it is vital that the sales force

be credible. And newcomer Orexigen lacked both numbers and credibility. The solution was to partner with Takeda to commercialize Contrave in the United States.

Takeda had an established sales force of more than 900 reps with broad experience in the same prescriber base through Takeda's diabetes products. The core messages highlighted the limited potential for abuse, proven cardiovascular safety and overall affordability compared to its branded competitors. And Takeda was much more active in promoting Contrave to prescribers than any of its branded competitors.

As a result, Contrave displaced all branded competitors in its launch year and became the second largest therapy by active prescribing decisions after generic phentermine. In an ever more challenging launch environment, launch archetypes can be a helpful framework to help focus on the right critical success factors and increase the likelihood of a successful launch (see **Figures 6 and 7**).

Summary

Biopharmaceutical product launches become more complex by the year. New distribution models, new product types, the increasing influence of payers and other factors create an ever more challenging landscape. Conventional wisdom says that emerging biopharmaceutical companies must either partner with a larger player or launch on their own. New analysis of global product launches suggests that the vital step is to determine how a given launch fits into one of four archetypes based on unmet medical needs and product differentiation. This framework helps biopharma companies identify the critical success factors that can increase the likelihood of a successful launch.